

Benchmarking for improvement

Looking at what other companies do and comparing them to your own organization can give insights into new directions for product, process, or service innovations. This approach is known as “benchmarking.” It aids you in comparative profiling of products and services. Benchmarking processes can be undertaken between similar activities within the same organization, between similar activities in different divisions of a large organization, between similar activities in different firms within a sector, and between similar activities in different firms and sectors. Compare your products and processes with those of other firms systematically and regularly.

Finding inspiration from outside

In addition to benchmarking by observing other companies, you may choose to collaborate with them directly to develop new ideas. As a manager, you should develop external networks of people who can help provide ideas—those with specialized knowledge, for example. You can also work closely with lead users—clients, customers, or employees at the forefront of innovation—to develop new products and services. A final source of ideas are your own mistakes, and those of your competitors. When a project flops, or a team underperforms, examine how this came about and consider what innovations could protect you against similar failures.



ASK YOURSELF... HOW OPEN TO INNOVATION IS YOUR ORGANIZATION?

- Do you have good relationships with your suppliers and pick up a steady stream of ideas from them?
- Are you good at understanding the needs of your customers/end users?
- Do you work well with universities and other research centers to help you develop your knowledge?
- Are your people involved in suggesting ideas for improvements to products or processes?
- Do you look ahead in a structured way (using forecasting tools and techniques) to try and imagine future threats and opportunities?